NORTHWIND BANK LIMITED
INTERNAL KYC AND CUSTOMER DATA POLICY (FICTIONAL SAMPLE, VERSION 3.2)

1. Purpose and scope. This policy sets the minimum Know Your Customer (KYC) and customer data requirements for Northwind Bank and for every vendor that processes customer data on its behalf. Vendor contracts must not permit practices weaker than this policy.

2. Customer identification and proof of address. Address must be verified using an officially valid document (OVD): passport, driving licence, voter identity card, or proof of possession of an Aadhaar number. A customer's self-declaration of address is not acceptable as proof of address under any circumstances.

3. Handling of Aadhaar numbers. Neither the Bank nor any vendor may store a customer's full Aadhaar number. The first eight digits must be redacted or masked before any copy of an Aadhaar document is stored.

4. Record retention. KYC records, identification documents and records of transactions must be preserved for at least five years after the business relationship with the customer has ended or the account has been closed, whichever is later. Records must not be destroyed earlier.

5. Periodic updation of KYC. KYC must be updated at least once every two years for high-risk customers, once every eight years for medium-risk customers and once every ten years for low-risk customers.

6. Consent and data sharing. Customer data may be shared with a third party only with the customer's explicit, informed consent and only for the purpose stated at the time of consent. Customer data must never be used for marketing or shared with marketing partners without a separate opt-in consent.

7. Vendor oversight and audit. Vendors must give the Bank and the Reserve Bank of India unrestricted access to premises, systems and records for audit and inspection. Vendors must not sub-contract any processing of customer data without the Bank's prior written approval.

8. Security incidents. Vendors must report any security incident or data breach affecting customer data to the Bank within six hours of detection.

9. Data localisation. All customer data, including backups, must be stored only on systems located in India.